May 29 2024 Webinar

A simple, approach to crop marketing, emphasizing the development of both pre and post harvest marketing plans, an openness to various pricing tools, and a decision-making framework focused on action and taking the emotion out of marketing.

Webinars, in person Seminars and ½ day Workshops

KANSAS FARM BUREAU The Voice of Agriculture

K-STATE Research and Extension

NORTH CENTRAL EXTENSION RISK MANAGEMENT EDUCATION

Developed by Dr. Ed Usset

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Sample Marketing Plans

1. Don't think of these as recommendations, but as an OUTLINE for you to consider and compare your marketing plan and actions to.
2. To be effective, marketing plans must include:
   a) Pricing Increments, (how much each time);
   b) Price Targets, (the price/profit you'll sell at);
   c) Date Targets, (designed to compel action when/if price targets aren't reached).

Together, these can guide your decisions, **lead to action**, and help take the emotion out of marketing.

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A Sample Pre-Harvest 2024 Wheat Plan

Began Oct 1, 2023: Buy crop insurance to protect production. Maximize price received on bushels sold before, or at harvest.

Pricing four increments of total expected APH production

~~1 Price 10% at $7.50 July futures or by Apr 15~~

2 Price 20% at $8.00 July futures or by Jun 1

3 Price 20% at $9.00 July futures

4 Price 25% at $10.00 July futures

- Be patient; Don't ignore $0.50/$0.60 rallies but be aggressive with price targets;
- Plan is designed to price at least **30%** of APH production, but IF we see a significant rally of $2.00+, we'll price up to **75%**.
- If using a "cash" marketing alternative, **NEVER** price at less than your expected production cost per bushel. $6.35 + $0.25 - ($0.40) = $7.00 minimum futures target

$6.31 COP, rounded to $6.35 per bu.

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2024 Preharvest Wheat Plan Implementation

Plan start: October 1, July
CME HRW @ $6.97 ½

10% of expected production priced at an average of $6.51 CME JUL Wheat Fut.

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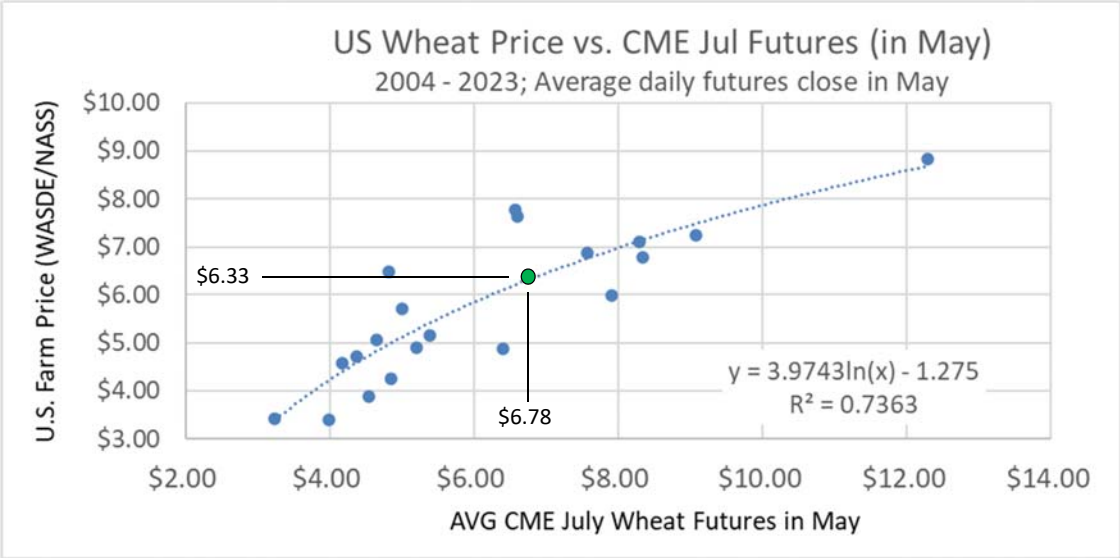
Estimating the 2024 Average US Wheat Price



1) This is simply an X/Y plot.
2) But . . . . $6.78 July CME futures thru the 28th, implies a $6.33 2024 U.S. Farm Price (versus USDA's $6.00, and 2023's $7.10)

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Salina-based, on farm, comparison of 2024 postharvest wheat marketing alternatives ~5/28/24

2024 Wheat	Postharvest Alternatives				1/17/25	
8/1/2024 Date beginning storage calculations **5/28/24 Example**	(A) Sell the Grain	(B) Sell Grain, Buy a Call Option	(C) ★ Sell Grain & Bull Call Spread	($0.57) Current Defered Basis	5.5 Months of Storage	(D) Storage Hedge & Storage Costs
Local Cash Price	$7.16	$7.16	$7.16	March Futures		$7.73
Buy an Option	March	=> Call	Call	Expected Basis		($0.200)
A-T-M Strike		$7.70	$7.70	Interest	5.0%	($0.164)
Option Premium		($0.75)	($0.75)	Mo. Chrg.	$0.000	$0.000
Sell an Option		March	=> Call	or 1 time: 1% Shrink		($0.122)
O-T-M Strike			$8.30	and $0.05 In-Out		
Option Premium			$0.55	Storage to date $0.00		
Minimum Price	$7.16	$6.40	$6.94	Expected Price		$7.23
Futures Price to BE w/ (A)		$8.46	$7.92	Expected Profit		$0.07

YOU MUST SELL MARCH CME WHEAT FUTURES!

Suggesting a $0.07 return over selling at harvest, down $0.23 from last month. On farm storage example.

DO NOT consider this a marketing recommendation or advice, and ONLY work with tools you're comfortable with, and a broker you trust.

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A Sample Postharvest 2024 Wheat Plan

Objective: Maximize income relative to harvest time wheat value.

Deliver the 20% Forward Contacted Bushels and then:
1 Sell all uncontracted bushels at harvest.
2 Consider a "March Call Spread" on 50% of production.

- Seasonal trends, plus current futures market carry, make wheat storage more concerning than a month ago.
- A March Call Spread at current levels would allow for the opportunity take advantage of any significant price rallies at less cost than the simpler, "Buying a Call Option."
- BE futures for the Call Spread is currently $7.92, March HRW futures, with a potential for a $0.38 gain.
- Once implemented, a profit goal ($0.20) and date to close out the position (Jan 31, 2025) should be added.

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A Sample Pre-Harvest 2024 Feedgrain Plan

Began Jan 1: Buy crop insurance to protect production risk and maximize price received on bushels sold before, or at harvest.

Pricing four increments of total expected APH production
1 Price 20% at $5.65 December futures or by Jun 1
2 Price 10% at $6.25 December futures or by Jul 20
3 Price 20% at $7.00
4 Price 25% at $7.25 December futures

- Be patient; Don't ignore $0.50-$.75 rallies; Aggr. price targets;
- Plan is designed to price at least **30%** of APH production, but IF we see a significant rally of $2.25, we'll price up to **75%**.
- If using a "cash" marketing alternative, **NEVER** price at less than your expected production cost per bushel. $4.50 + $0.30 - ($0.20) = $5.00 minimum futures target

$4.47 WK IRR-weighted COP, rounded to $4.50/bu.

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Pricing Targets v. January 1

Let's sort'em by rally size

Jan 1, 2024
$4.98

Jan 1 thru Sep 30 New Crop Futures Analysis

27% of the time, at least a $2.00 rally

53% of the time, at least a $0.65 rally

73% of the time, at least a $0.25 rally

CRAP YEARS, little to no rally vs. Jan. 1

Fifteen Years: CME December Corn Futures

2009/23	Jan 1 Price	Preharvest Max Price	Change	Percent Change
2012	$5.90	$8.39	$2.49	42%
2011	$5.53	$7.75	$2.23	40%
2022	$5.48	$7.66	$2.18	40%
2021	$4.35	$6.37	$2.02	46%
2010	$4.45	$5.22	$0.77	17%
2016	$3.77	$4.49	$0.72	19%
2019	$3.98	$4.69	$0.70	18%
2014	$4.48	$5.13	$0.65	14%
2018	$3.87	$4.27	$0.40	10%
2015	$4.20	$4.52	$0.32	8%
2017	$3.84	$4.15	$0.31	8%
2023	$6.07	$6.29	$0.22	4%
2009	$4.56	$4.73	$0.17	4%
2013	$5.92	$5.94	$0.01	0%
2020	$4.05	$4.05	$0.00	0%

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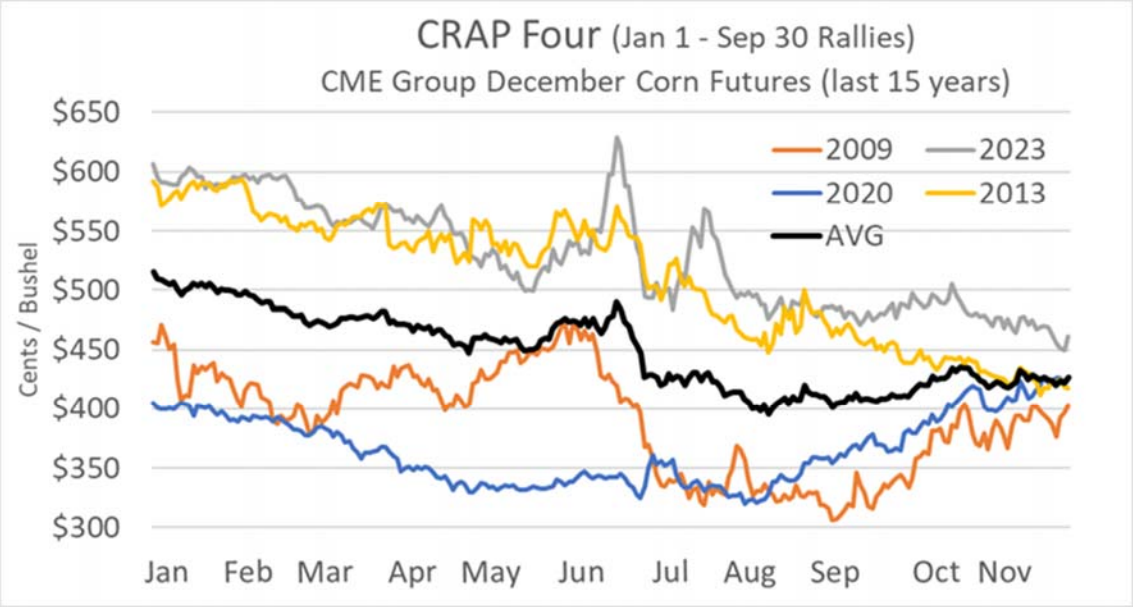

- In "Crap" years, prices trend lower throughout preharvest.
- Summer rallies (Jun – Aug) back to Jan 1 levels can provide opportunities that exceed harvest time price levels.

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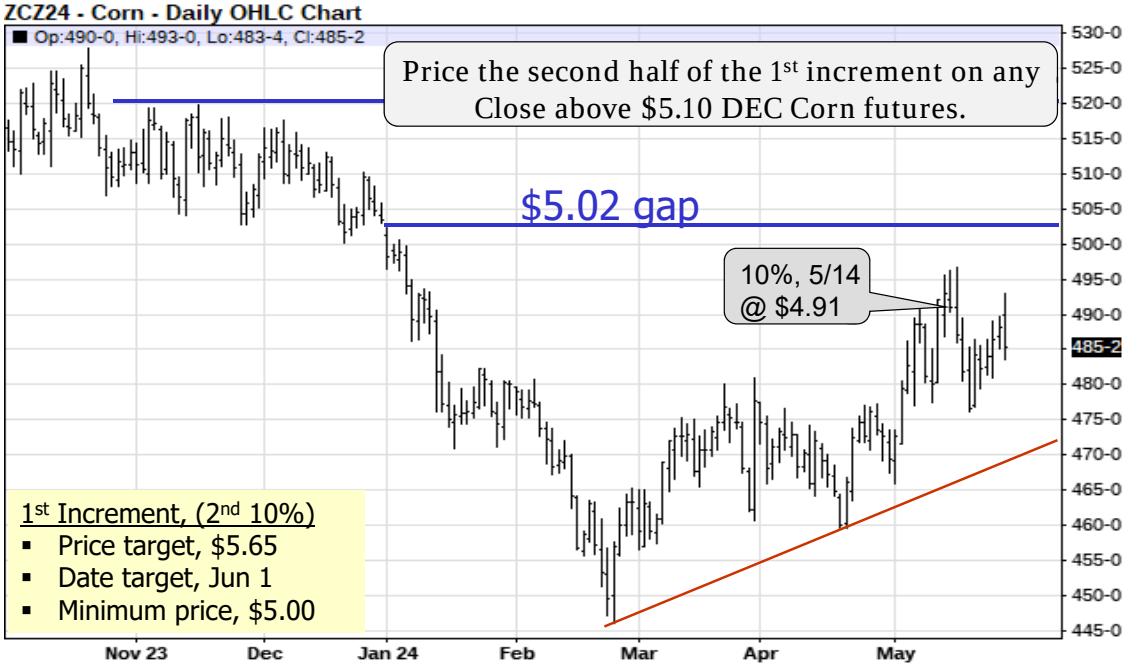
2024 Preharvest Corn Plan Implementation

Plan start: Jan 1, December
CME Corn @ $4.98 ¼

Average $4.91 CME DEC Futures Position



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A Sample Pre-Harvest 2024 Soybean Plan

Began Jan 1: Buy crop insurance to protect production risk.
Maximize the price received on bushels sold before or at harvest.

Pricing four increments of total expected APH production
1 Price 20% at $13.25 November futures or by Jun 15
2 Price 10% at $14.00 November futures or by Sep 15
3 Price 20% at $14.50 November futures
4 Price 25% at $15.25 November futures

- Be patient; Don't ignore $0.50-$1.50 rallies; Aggr. price targets;
- Plan is designed to price at least **30%** of APH production, but IF we see a significant rally of $3.00, we'll price up to **75%**.
- If using a "cash" marketing alternative, **NEVER** price at less than your expected production cost per bushel. $10.00 + $0.30 - ($0.70) = $11.00 minimum futures target

$9.72 EK-weighted COP, rounded to $10/bu.

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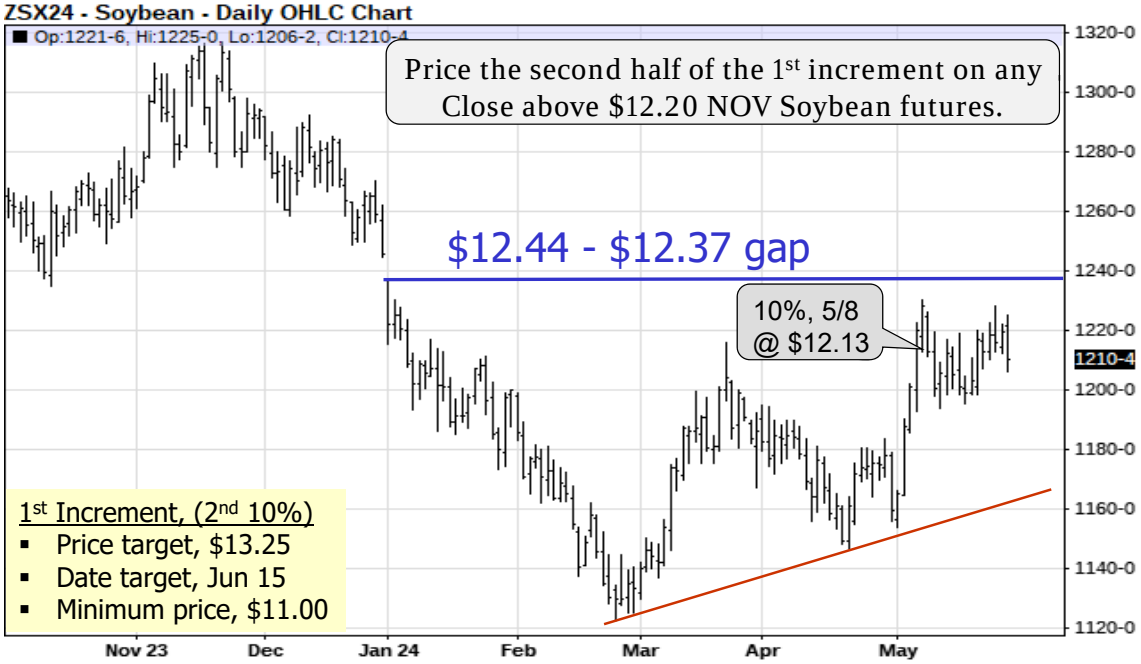
2024 Preharvest Bean Plan Implementation

Plan start: Jan 1, November
CME Bean @ $12.22

Average $12.13 CME NOV Futures Position



1st Increment, (2nd 10%)
- Price target, $13.25
- Date target, Jun 15
- Minimum price, $11.00

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Thank you so much!

What About 2025?

	Jul Hard Wheat	Dec Corn	Nov Soybeans
2025	$7.57	$4.91	$11.85
2026	$7.00	$4.80	$11.67
2027		$4.76	$11.31

CME Group

5/28/24 closes

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"Our postharvest marketing goal should be to better our position versus harvest values."

On-Farm Storage Costs
- Variable (Time, Shrink, Utilities, Repairs, Insecticide and Interest)
- "Variable Income" (Harvest Time Saved)

Off-Farm/Commercial Storage Costs
- Variable Costs (Handling Charge and Interest)

Postharvest Alternatives

1. Store & Hedge, (store the crop & sell futures or buy a put option)
2. Store Unhedged (possibly what many folks consider)
3. Sell the crop at harvest (What a lot folks do)
4. Sell the crop & buy a call option ("minimum price contract")
5. Sell the crop; buy a call & sell an OTM call (i.e., spread)

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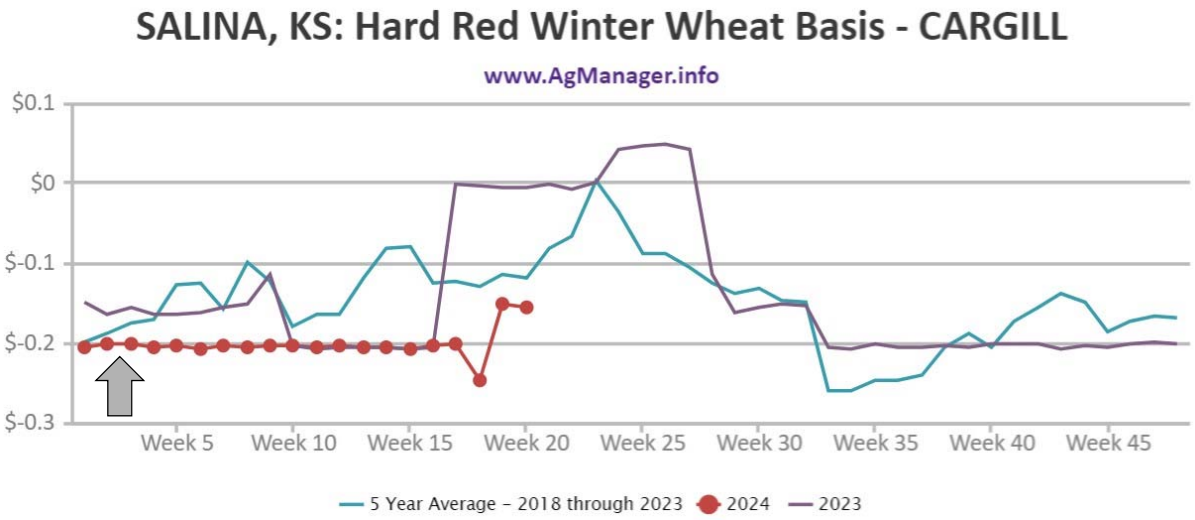
To assess the potential for basis appreciation, start with the historical basis at the expected time of sale.



The 5-year average (March CME futures) basis in mid January is ($0.18). Compare that to March basis today [$7.16 cash - $7.73 futures = ($0.57)].

Implying the potential for $0.55 in basis appreciation! BUT! check at harvest!

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Call Spread

A "Retained Ownership" Position
*With **LIMITED** UPSIDE potential*

This alternative involves selling the physical commodity. You benefit from overall market rallies but not basis gains.

The call spread involves buying a call (ATM) and selling another call at a different, greater strike price (OTM), but with the same expiration and underlying contract.

At a predetermined profit or date target, you exit both call option positions.

✓**This strategy establishes a higher floor** than other minimum price alternatives (via call premium received).

✓**It also establishes a ceiling** at the OTM call strike. As you **pay margin as futures rise,** offsetting ATM call gains.

https://www.cmegroup.com/education/courses/option-strategies/bull-spread.html

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Let's turn to our 2024 Postharvest Wheat Marketing Plan Elements

To be effective, marketing plans must include:

1. Pricing Increments, (how much each time);
2. Price Targets, (the price/profit you'll sell at);
3. Date Targets, (designed to compel action when/if price targets aren't reached).

Together, these can guide your decisions, **lead to action**, and help take the emotion out of marketing.

- Learn about different marketing tools.
- Create and work with a "Marketing Team."

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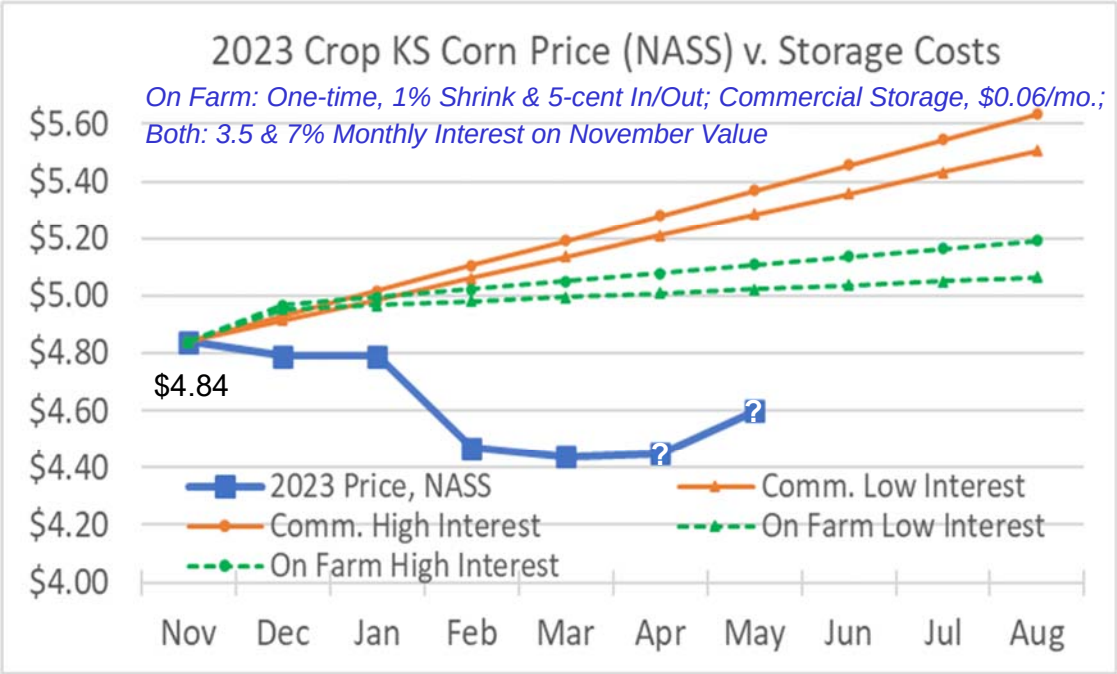
How are we doing with 2023 crop?



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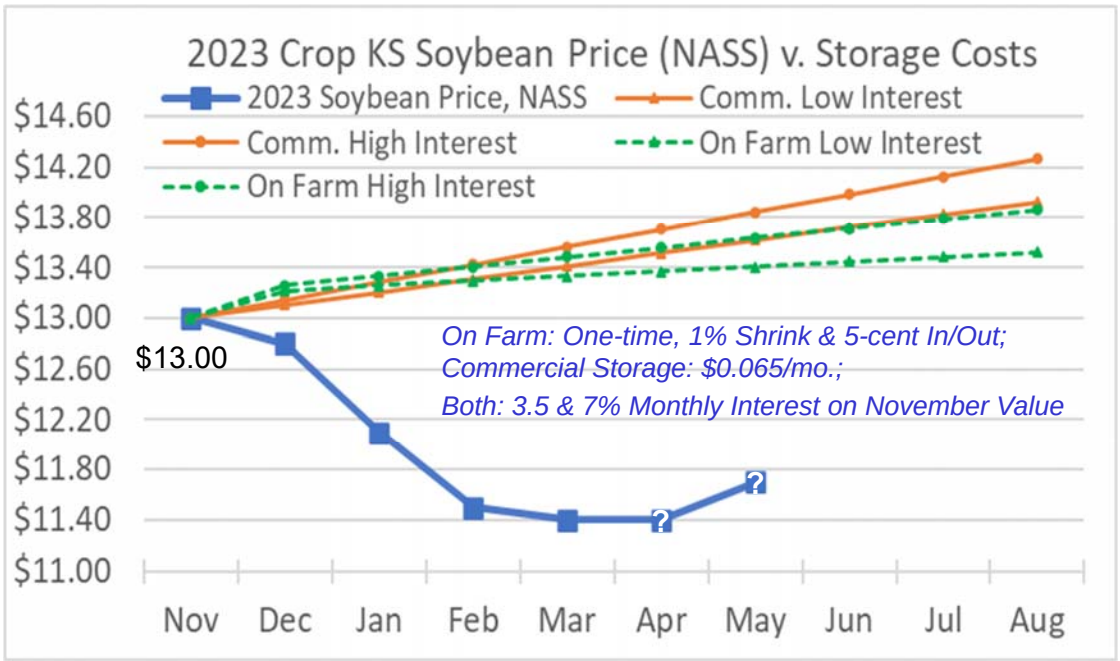
How are we doing with 2023 crop?



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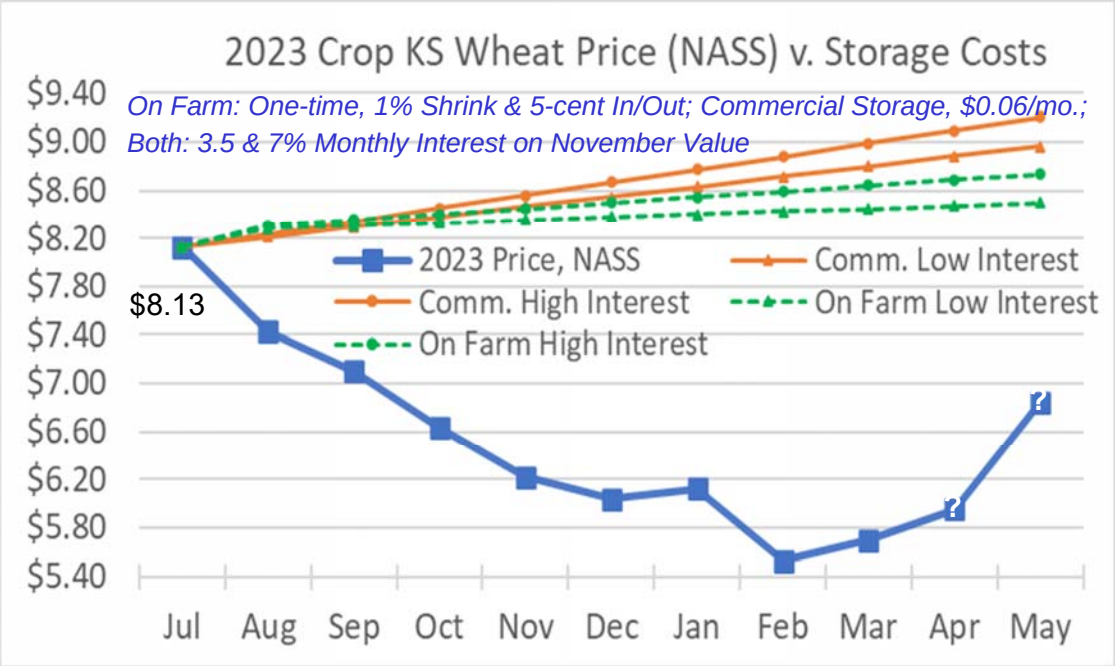
How are we doing with 2023 crop?



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2024 Costs of Production – Total expenses per bu. (yield)

	Dry Corn	IRR Corn	G. Sorghum
NW	$5.09 (89)	$4.55 (240)	$4.71 (85)
SW	$5.22 (82)	$4.58 (225)	$4.35 (85)
NC	$4.17 (120)	$4.24 (240)	$3.43 (120)
SC	$3.87 (110)	$4.40 (225)	$2.82 (110)
NE	$4.31 (145)		$3.80 (125)
SE	$4.18 (120)		$3.58 (100)

	Soybeans	Wheat
NW	$13.44 (25)	$6.95 (60)
SW	$13.33 (25)	$7.35 (54)
NC	$8.91 (45)	$5.98 (62)
SC	$8.17 (40)	$5.07 (62)
NE	$8.36 (55)	$6.55 (68)
SE	$4.18 (120)	$6.05 (61)

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